Differences Between GDR and ADR

Basis	Global Depository Receipts GDR	American Depository Receipts ADR
Denomination	It is denominated in terms of any freely convertible currency	It is denominated only in US dollars
To whom it is issued	It is issued to investors in one or across more markets simultaneously	It is issued only to investors, who are residents of the United States of America.
Listed in	Non-US Stock Exchange such as London Stock Exchange or Luxemburg Stock Exchange.	American stock exchange
Approval	Issue of GDR does not require foreign regulatory clearances.	Issue of ADR requires approval from the Securities Exchange Commission (SEC) of United States of America.
Mode of expression	GDRs are normally co-related to equity shares of the issuing company expressed in whole numbers.	In many cases ADRs co-related to equity shares of the company are expressed as a fraction
Negotiation	It is negotiable all over the World.	It is negotiable only in America.

Key Terms

American Depositary Receipt (ADR)

Global Depository Receipt (GDR)

Foreign Currency Convertible Bond (FCCB)

Foreign Direct Investment (FDI

For Own Thinking

1. Role of World Bank in globalization
2. The concept of Hot Money

For Future Learning

1. Possibilities of making the western and American countries in favour of Indian Depository Receipt (IDR)
2. Petrodollar system and its future

Exercise

9A6QAJ

I. Choose the Correct Answer

1. An instrument representing ownership interest in securities of a foreign issuer is called _____

a. an ownership certificate

b. a depositary receipt.

c. an ownership receipt

d. None of the above.

2. Issuance of DRs is based on the increase of demand in the

a. International market

b. Local market

c. Existing shareholders

d. All of the above

Commerce 16-25.indd 205 2/17/2021 4:50:11 PM